

When we analyze the quality of earnings, we look into the health of the industry, company and its financials. We will ask questions like:

Industry

- Is the industry large?
- Is the industry growing or depleting?
- Is the industry too competitive?
- Is there any risk to the survival of the industry?



Business

- Is the company competitively strong and well positioned?
- Is the company's sales sustainable?
- Is there any major survival risk the company faces?
- Is the business run by able managers?



Financials

- Does the company generate strong profitability?
- Does the company have too much debt?
- Is the sales growing for the company?
- Is there any major liability coming up?



Conclusion

When we think of buying ownership in the earnings of a company, we must essentially evaluate its quality and size of earnings.

- We have discussed the various factors that influence the quality of earnings.
 - If the fundamental strength of the industry and business is weak, the company will be undervalued.
 - If the quality of earnings improves during our ownership, then our risk decreases.
 - Let's say certain elements emerge that function as a catalyst, and the company expands very quickly. As a result, the risk of longevity is now eliminated.
 - We will also get significant returns on our holdings.
- We must evaluate the organization and its capacity to increase its size of earnings.